possibly worse.'[40] The next day Grigg wrote to Smith that he was not prepared to go to the market for 7 year money as he thought it would be expensive as compared to Treasury Bills and that it would not tighten up the market unless he (Grigg) agreed to increase the government's cash balance which would make it still more expensive. On the bank rate Grigg said that though he could not stop him from lowering the rate, he felt it necessary to place on record that it would serve no useful purpose and was from certain points of view undesirable. 'And in this instance your arguments for lowering it seem to me so unconvincing that, if you summarily reject my opinion, I shall have no alternative but to assume that you no longer have that desire to co-operate with me of which Mr Norman assured me (not once but over and over again) before I agreed to come to India.'[41]

Grigg also voiced his frustration at the fact that both Bombay and Calcutta knew of the 2 ½ percent loan, and more importantly the fact that the market had got wind of Smith's desire to lower the rate before the meeting of the Board and before Grigg had 'any opportunity of giving full consideration to your request for my opinion.' Much worse was the fact that Smith had allowed the Board to know that there was a difference of opinion between him and Grigg on this matter. It was possibly misunderstanding of this kind which led Smith to make the unusual suggestion of appointing a liaison officer between government and the RBI saying that 'the frequent leakages in this country of confidential information make it desirable, indeed imperative to formulate some method of circumventing such leakages, at any rate in-so-far as communications between the Finance Member and the Governor are concerned.'[42] This officer would, Smith suggested, carry by word of mouth important decisions between the two. Grigg concurred in the suggestion but nothing came of it then probably because of the difficulty in finding a suitable candidate. Later C.D. Deshmukh would fill this post.

Sir Sikander was also keeping Taylor abreast of the developments. On December 2, 1935, he wrote: 'You will be sorry to learn that acute differences have arisen between Sir James Grigg and Sir Osborne over the question of Bank Rate. Knowing them both as you do you can imagine what that means. I gathered from Sir Osborne's remarks that acrimonious correspondence had passed between them. Later, on Wednesday last, Kelly brought a message…that if the Bank Rate was reduced to 3 percent as